



June 2, 2025

California Privacy Protection Agency
Attn: Legal Division – Regulations Public Comment
400 R Street, Suite 350
Sacramento, CA 95811

RE: Public Comment on CCPA Updates, Cyber, Risk, ADMT, and Insurance Regulations

Dear California Privacy Protection Agency:

On behalf of the advertising industry, we provide these comments in response to the California Privacy Protection Agency's ("CPPA" or "Agency") proposed updates to the state's regulations implementing the California Consumer Privacy Act ("CCPA") and proposed new regulations governing risk assessments, automated decisionmaking technology ("ADMT"), cybersecurity audits, and insurance companies.¹ Below we provide comments on the Agency's proposed ADMT rules and the proposed updates to the existing CCPA regulations.

We appreciate the changes the Agency made to the prior version of the proposed ADMT rules to align their scope with the CCPA and tailor their impact to higher-risk data processing contexts, such as significant decisionmaking. However, the CPPA's current regulatory package would still make significant changes to existing privacy mandates. In particular, the definition of ADMT is still significantly broad and is not cabined to the use of automated processing for significant decisions. In addition, the proposed rules would create costly new assessment, opt-out, and rights request processing requirements. These requirements would disrupt automated processing functions that benefit consumers, stifling the economy, slowing innovation, and burdening both consumers and businesses alike.

We ask the Agency to make certain further revisions to the proposed regulations in line with the suggestions in this submission. We submit comments on the following specific areas with the goal of improving the proposed regulations to benefit consumers and businesses, enhancing clarity in the regulatory text, and furthering the operational workability of new mandates set forth in the proposed rules:

- I. Comments on Proposed Regulations on ADMT**
 - a. The Proposed Definition of ADMT Is Overly Broad
 - b. The Proposed Risk Assessment Requirements are Overly Prescriptive and Onerous
 - c. The Proposed Definition of "Sensitive Location" is Overly Broad
- II. Comments on Proposed Updates to CCPA Regulations**
 - a. Opt-Out Signal Status Display Requirements Should Not Be Required

¹ See *Modified Text of Proposed Regulations*, CALIFORNIA PRIVACY PROTECTION AGENCY (May 9, 2025), available [here](#).

- b. Notice Requirements Should Be Adaptable Across Various Channels and Allow Flexibility in Connected Device Settings
- c. The Scope of CCPA Applicability for Nonprofits Should Be Clarified and Harmonized with the Law

III. The CCPA Should Provide a Longer Compliance Timeline for its Updates to the CCPA Regulations Given the New Mandates

As the nation's leading advertising and marketing trade associations, we collectively represent thousands of responsible companies across the country that make up and support the digital economy. These companies range from small businesses to household brands, advertising agencies, publishers, and technology providers. Our combined membership includes more than 2,500 companies that power the commercial Internet and the digital economy, which accounted for 18 percent of total U.S. gross domestic product ("GDP") in 2024.² By one estimate, over 1.8 million jobs in California are related to the ad-subsidized Internet.³ Our group has more than a decade's worth of hands-on experience it can bring to bear on matters related to consumer privacy and controls. We would welcome the opportunity to engage with the CCPA further on the points we discuss in these comments.

I. Comments on Proposed Regulations on ADMT

While we acknowledge and agree with changes the Agency has made to the ADMT regulations to narrow their scope, the proposed regulations still include an extraordinarily broad definition of ADMT that would encompass virtually all computing processes that power the modern economy and bestow significant benefits on consumers. The definition itself is not cabined to ADMT in the context of significant decisions. The proposed regulations would also create overly prescriptive risk assessment requirements for certain processing activities and uses of ADMT. These risk assessments would prove challenging and costly to implement, especially for small and mid-sized businesses which may lack the resources to require full participation from all individuals involved in data processing and decision-making. Moreover, the proposed regulations would define "sensitive location" in a manner that includes locations that are not sensitive. We address these issues below.

a. The Proposed Definition of ADMT is Overly Broad

While the Agency has modified its proposed definition of ADMT, the revised proposed definition of ADMT remains overly broad as the term itself is not limited to significant decisionmaking. As drafted, ADMT would include "any technology that processes personal information and uses computation to replace human decisionmaking or substantially replace human decisionmaking... includ[ing] *profiling*" (emphasis added).⁴ "Substantially replace human decisionmaking" means a business uses the technology's output to make a decision

² John Deighton and Leora Kornfeld, *Measuring the Digital Economy*, INTERACTIVE ADVERTISING BUREAU, 8 (April 2025), located at https://www.iab.com/wp-content/uploads/2025/04/Measuring-the-Digital-Economy_April_29.pdf.

³ *Id.* at 130-132.

⁴ Cal. Code Regs., tit. 11, § 7001(e) (proposed), available [here](#).

without human involvement.⁵ Although the substantive ADMT mandates in the proposed rules are cabined to use of ADMT for significant decisions, the ADMT definition itself is still broadly construed, encompassing nearly all types of modern computing processes, including routine data-handling tasks that are automated. In testimony before the Agency and in a letter to the CCPA sent by California legislators, concerns were voiced regarding the sweeping nature of these rules and their failure to differentiate between activities that present minimal or no tangible risk to consumers.⁶ We acknowledge and appreciate steps CCPA has taken steps to hone the ADMT rules' scope. However, further amendments to limit the scope of the definition itself would help to cabin the rules' impact to processing that presents actual risks to consumers. Without amendments to refine and clarify the definition's scope, the regulations could lead to unintended consequences that extend beyond their intended purpose.

In particular, the proposed rules would create opt-out, access, and Pre-Use Notice requirements in the context of use of ADMT for significant decisions. However, the proposed definition of "significant decision" does not clarify that the term applies only to decisions about consumers acting in individual or household contexts and not in commercial or business-to-business contexts.⁷ As drafted, the ADMT definition could be read to be broader, such as applying to decisions about businesses looking to obtain commercial credit or loans. The "significant decision" definition should be clarified so it applies solely to decisions about consumers acting in individual or household contexts and not in commercial or business-to-business contexts. Furthermore, definitions related to rights to opt out of and access ADMT should clearly indicate that they apply solely to use of ADMT for significant decisions. While definitions of key terms, such as "right to opt-out of ADMT," "request to opt-out of ADMT," "right to access ADMT," and "request to access ADMT" apply "as set forth in... Article 11," which creates requirements for use of ADMT for significant decisions, to foster clarity, the definitions should be revised to explicitly state that they pertain exclusively to ADMT within the context of significant decision-making.⁸ Such a clarification would help to squarely limit the impact of new rights to use of ADMT for significant decisions and avoid the potential for scope creep.

In addition, the CCPA's proposed definition of ADMT would include "profiling," and the proposed regulations would broaden the statutory definition of "profiling" in a manner which would result in further expanding the definition of ADMT. The CCPA defines profiling as "any form of automated processing of personal information, as further defined by regulations..., to evaluate certain personal aspects relating to a natural person and in particular to analyze or predict aspects concerning that natural person's performance at work, economic situation, health, personal preferences, interests, reliability, behavior, location, or movements."⁹ The Agency's proposed regulations would add elements to the definition, further defining profiling as "any

⁵ *Id.* at § 7001(e)(1) (proposed).

⁶ See *Public Comment on ADMT Regulations*, submitted by Members of the California Legislature (February 19, 2025), available [here](#).

⁷ Cal. Code Regs. tit. 11, § 7001(ddd) (proposed).

⁸ *Id.* at §§ 7001(jj), (qq), (ss), (xx) (proposed).

⁹ Cal. Civ. Code § 1798.140(z).

form of automated processing of personal information to evaluate certain personal aspects relating to a natural person and in particular to analyze or predict aspects concerning that natural person’s *intelligence, ability, aptitude*, performance at work, economic situation; health, *including mental health*; personal preferences, interests, reliability, *predispositions*, behavior, location, or movements” (emphasis added).¹⁰

Instead of providing clearer boundaries for what constitutes profiling and ADMT, the expanded profiling definition proposes to introduce additional categories—such as intelligence, ability, aptitude, mental health and predispositions—that would increase regulatory uncertainty regarding the scope of the ADMT rules. While advertising has rightfully been excluded from the context of “significant decisions,” the ADMT term, used in isolation, could be interpreted to include advertising functions due to the broad definition of “profiling” that is included in the ADMT definition. By encompassing a wider range of personal attributes, the new “profiling” definition would extend the scope of compliance requirements for businesses and organizations that process consumer data using ADMT. In effect, rather than achieving clarity, the expansion of the “profiling” definition amplifies the complexity and potential impact of the ADMT definition. The Agency should refine its definition of ADMT, so the term encompasses only high risk automated decisionmaking rather than any automated computing process.

b. The Proposed Risk Assessment Requirements are Overly Prescriptive and Onerous

The proposed regulations include numerous onerous requirements that would be significantly challenging for businesses of all sizes to implement. In particular, prescriptive terms surrounding stakeholder involvement in an assessment, timelines for required assessment updates, executive accountability for assessments, and disclosure of assessments to the Agency contain rigid obligations that would be supremely challenging for small and mid-sized businesses to implement. The proposed requirements surrounding risk assessments should be amended so they are more flexible rather than prescriptive to aid companies of all sizes in completing legally sufficient assessments.

One prescriptive and unclear proposed assessment requirement that is unlikely to be scalable to businesses of all sizes is the requirement for specific stakeholder involvement in the process. The proposed rules state that “[i]ndividuals whose job duties include participating in the processing of personal information subject to a risk assessment must be involved in the risk assessment process for that processing activity.”¹¹ The scope of this requirement is unclear and potentially very broad and could potentially require every employee that in some way “touches” personal information to be directly involved. Additionally, the proposed regulations state that “an individual who determines the method by which the business plans to collect consumers’ personal information for one of the processing activities” necessitating a risk assessment must “provide that information to the individuals conducting the risk assessment.”¹² This requirement

¹⁰ Cal. Code Regs. tit. 11, § 7001(ii) (proposed).

¹¹ *Id.* at § 7151(a) (proposed).

¹² *Id.* (proposed).

also lacks clarity. It is not clear what kind of “information” that a decisionmaker is required to provide to individuals conducting the risk assessment, and how this information must factor into the assessment.

Instead of imposing rigid mandates for stakeholder involvement in assessments, the Agency should take steps to make the requirements more flexible so businesses with different kinds of internal resources (for example, small and mid-sized businesses), teams, and decisionmaking processes are able to conduct risk assessments that meet the regulations’ requirements. The Agency should consider offering scalable guidelines that account for variations in company size and resources, ensuring that all businesses can implement reasonable stakeholder engagement.

In addition, the proposed regulations set an unrealistic timeline for updating risk assessments. Businesses are given over two years to complete their initial risk assessments (with a December 31, 2027 deadline for completion), yet only 45 days to update them following a material change in processing.¹³ This is an insufficient timeframe, considering the complexity of the regulations and scope of the risk assessment requirements. The Agency should update the proposed rules to allow for a more reasonable update period to complete relevant updates in the event of material changes to relevant processing practices. Such a change would allow businesses to conduct thorough updates to assessments without being rushed by an unnecessarily short 45-day timeline for completion.

Moreover, the proposed regulations would impose strict executive accountability requirements. They would require a member of the business’s executive management team to sign an attestation certifying the correctness of the risk assessment under penalty of perjury.¹⁴ This is an extreme measure that introduces the potential for personal legal liability. It is inappropriate to assign this sort of responsibility, with severe penalties, to individuals. Many other omnibus state privacy laws contain risk assessment requirements, but no other state requires executives to certify the accuracy of risk assessments or take on the burden of potential personal liability in the context of risk assessments. The Agency should thus remove this signed attestation requirement from the proposed risk assessment rules.

Finally, the regulations grant the CPPA unrestricted power to request risk assessment reports at any time, with no limits on how often the Agency may make such requests. Businesses would be required to submit reports within 30 days of a request, which is a rigid and demanding deadline.¹⁵ Other states typically permit state agencies to make such requests only in cases involving Civil Investigative Demands (CIDs) or formal investigations, ensuring due process and preventing unnecessary disclosure.¹⁶ This unrestricted submission requirement also raises potential legal risks. Businesses must be allowed to preserve attorney-client and work

¹³ *Id.* at §§ 7155(a)(3), (b) (proposed).

¹⁴ *Id.* at §§ 7157(b)(5), (b)(6), (c) (proposed).

¹⁵ *Id.* at § 7157(e) (proposed).

¹⁶ *See, e.g.,* Va. Code Ann. § 59.1-580(C).

product protections when submitting risk assessments to the Agency. Without these safeguards, they could be forced to disclose sensitive legal analyses and proprietary information.

Overall, the proposed risk assessment regulations create an overly prescriptive framework that increases compliance burdens, legal risks, and operational inefficiencies without necessarily benefitting consumers. Businesses need more flexibility to conduct meaningful risk assessments while ensuring regulatory compliance.

c. The Proposed Definition of “Sensitive Location” is Overly Broad

The Agency’s definition of “sensitive location” and its associated risk assessment requirement could have far-reaching unintended consequences, particularly when applied to commonplace, non-invasive activities like cross-context behavioral advertising. The regulations would require a risk assessment for profiling a consumer based on that consumer’s presence in a sensitive location.¹⁷ This requirement, coupled with the broad scope of the “sensitive location” definition, risks imposing undue risk assessment burdens on businesses of all sizes that engage in benign marketing practices – such as offering a discount at a coffee shop in or near a hospital waiting room or a college cafeteria. In addition, the requirement risks chilling lawful commercial speech and limiting advertising on important topics, including advertising to doctors and healthcare workers. As drafted, the proposed “sensitive location” definition and related risk assessment requirements would unreasonably burden free speech through advertising in or near any location the Agency has deemed to be “sensitive.”

The Agency’s proposed regulation defines “sensitive location” to mean any of the following physical places: “healthcare facilities including hospitals, doctors’ offices, urgent care facilities, and community health clinics; pharmacies; domestic violence shelters; food pantries; housing/emergency shelters; *educational institutions*; *political party offices*; legal services offices; union offices; and places of worship” (emphasis added).¹⁸ By encompassing benign locations such as educational institutions and legal services offices, this definition could complicate standard business marketing operations and frustrate consumer expectations.

For example, a university aiming to sell merchandise to fans of the university’s sports teams through location-based digital outreach would be subject to the same risk assessment requirements as a doctor’s office monitoring patients near an abortion clinic. A person’s presence in an educational institution or a legal services office is not inherently sensitive. Further, this broadly scoped definition also would lead to other non-privacy-related unintended consequences, for example, limiting mixed-use commercial developments when any of the of the physical places deemed sensitive by the CPPA might be in proximity to a retail establishment. As such, the onerous risk assessment requirements set forth in the proposed rules should not apply to automated processing to make inferences about consumers who have visited these locations.

¹⁷ Cal. Code Regs. tit. 11, § 7150(b)(5) (proposed).

¹⁸ *Id.* at § 7001(aaa) (proposed).

In addition, the inclusion of other delineated locations, such as political party offices, in the “sensitive location” definition could chill communications that California residents otherwise value. Political party offices serve as hubs of civic and democratic engagement where individuals often volunteer during campaigns in support of their preferred candidates. If political party offices are deemed “sensitive,” it could create barriers to the free exchange of ideas and information bedrock to our democracy. A more balanced approach would involve the Agency clarifying the definition of “sensitive location” to focus explicitly on places where individuals are in heightened vulnerable states—while providing explicit guidance that educational institutions, legal services offices, and voluntary civic engagement spaces like political party offices are exempt from onerous risk assessment measures.

II. Comments on Proposed Updates to CCPA Regulations

The proposed regulations would create new requirements for the timing of honoring opt-out requests and displaying the status of an opt-out preference signal and new mandates for surfacing required notices and rights. Below we provide recommendations for the CPPA’s consideration in each of these areas, which we raised in our initial submission to the Agency in February on its proposed regulation package.

a. Opt-Out Signal Status Display Requirements Should Not Be Required

The proposed regulations would shift the current voluntary business disclosure of an opt-out preference signal’s status through an “Opt-Out Request Honored” disclosure into a mandatory requirement.¹⁹ This would be a significant burden on businesses, particularly small to mid-size firms. To maintain flexibility, the Agency should preserve the existing approach which allows businesses to decide whether or not to display this status. If the Agency decides to implement a new mandate requiring this disclosure, it must ensure that the regulations carefully define clear exemptions, how the requirement will be enforced, and provide clear guidance on what constitutes a valid opt-out preference signal.

The proposed requirement to display the status of an opt-out preference signal contradicts the underlying text of California law and would create significant compliance challenges.²⁰ The law directs the CPPA to issue specific regulations governing opt-out preference signals. For instance, the CCPA instructs the Agency to issue regulations to “ensure that the manufacturer of a platform or browser or device that sends the opt-out preference signal cannot unfairly disadvantage another business.”²¹ According to the CCPA, the Agency also must issue

¹⁹ *Id.* at §§ 7025(c)(6); 7026(g); 7027(h) (proposed).

²⁰ According to the text of the CCPA, businesses “may elect” to either (a) “[p]rovide a clear and conspicuous link on the business’s internet homepage(s) titled ‘Do Not Sell or Share My Personal Information’” **or** (b) allow consumers to “opt-out of the sale or sharing of their personal information... through an opt-out preference signal sent with the consumer’s consent by a platform, technology, or mechanism, based on technical specifications to be set forth in regulations[.]” Cal. Civ. Code §§ 1798.135(a), (b). The CCPA itself therefore gives businesses the choice to either allow consumers to opt out through a do-not-sell link on their homepage(s) or through user-enabled global privacy controls.

²¹ *Id.* at §§ 1798.135(b)(1), 1798.185(a)(19)(A).

regulations to ensure user-enabled global privacy controls “clearly represent a consumer’s intent and [are] free of defaults constraining or presupposing such intent.”²² However, the Agency has issued no regulations to this effect, leading to a lack of standardization in the marketplace regarding what constitutes a valid opt-out preference signal. As a result, the proposed requirement to indicate the “status” of a signal requires businesses to make assumptions and guess which signals are valid in the absence of clear guidance. Imposing a requirement to note whether signals have been “honored,” without providing corresponding clarity regarding which mechanisms constitute valid signals, would create significant confusion and frustration for both consumers and businesses.

The CCPA should ensure that any requirement to display the status of an opt-out preference signal includes appropriate exceptions or limitations on enforcement to account for the prevailing uncertainty regarding what constitutes a valid signal. For example, the CCPA should ensure exemptions exist for honoring signals that are set by default or are devoid of consumer choice points to initiate the signal. Furthermore, the CCPA should also make clear that entities that offer opt-out preference signals, such as platforms, plug-ins, and browsers, must comply with the signals in the same way as other businesses. By updating the proposed regulations to incorporate reasonable exceptions and clarifications to the requirement to display the status of an opt-out preference signal, the CCPA can help prevent unfair penalties and unfair application of opt-out preference signals. This approach would also help ensure businesses are not held accountable for signals that do not comply with law or circumstances that are beyond their control, fostering a balance between regulatory compliance with operational feasibility.

b. Notice Requirements Should Be Adaptable Across Various Channels and Allow Flexibility in Connected Device Settings

The proposed regulations would require businesses to provide notice “in a manner that ensures that the consumer will encounter” applicable notices before or at the time that connected devices or augmented reality/virtual reality devices may collect personal information.²³ The proposed regulations would also mandate that notice of the right to limit to be provided in the same “manner” in which the business collects sensitive personal information.²⁴ These prescriptive requirements limit businesses’ ability to effectively reach consumers with notices across multiple channels in ways that are more accessible and consumer-friendly. They also fail to acknowledge advancements in technology, which may not permit or may make it impractical to provide notices through the medium that actually collects personal information.

Appropriate flexibility should be given so that businesses can use methods to provide notices in ways that consumers will best receive and understand them. For instance, devices like smart speakers without screens may be best suited to provide requisite notices through companion applications than through the speaker itself, as a written form of the notice may be easier for a consumer to review for pertinent information. Moreover, rigid requirements

²² *Id.*

²³ Cal. Code Regs. tit. 11, § 7013(e)(3) (proposed).

²⁴ *Id.* at § 7014(e)(3) (proposed).

regarding methods of notice are likely to lead to increased administrative burdens, higher costs, and potential compliance issues, especially for small businesses. These costs will ultimately be passed down to consumers in terms of frustrated access to innovative offerings, new AR/VR tools, and new connected devices. The proposed regulations should clarify that requisite notices for connected devices can be provided through a web or app interface. By allowing businesses to adapt notification methods to suit consumers' needs, regulations can promote clarity and accessibility.

c. The Scope of CCPA Applicability for Nonprofits Should Be Clarified and Harmonized with the Law

The proposed regulations would update the definition of “nonbusiness,” subsequently creating confusion regarding the scope of the CCPA’s applicability to nonprofits.²⁵ Under the CCPA, “business” is defined to include any for-profit entity that processes personal information related to California consumers, or on behalf of which such information is processed, and controls the purpose and means of the processing.²⁶ That definition reflects legislative intent to cabin applicability of the CCPA to for-profit entities. In addition, the California Attorney General has stated in FAQs that “[t]he CCPA generally does not apply to nonprofit organizations[.]”²⁷ The Agency should ensure that the proposed regulations align with the CCPA by incorporating text that clearly limits its applicability to nonprofits.

III. The CPPA Should Provide a Longer Compliance Timeline Given the New Mandates

Given the scope and breadth of the regulatory package, the Agency should afford businesses more than a year to comply with new mandates before they become enforceable. New requirements related to CCPA compliance will require businesses to build new processes and functionality. Providing a ramp-up period would help afford much-needed time for businesses to formulate rational approaches to compliance. The CPPA should clarify that civil and administrative enforcement of new regulatory provisions will not commence until at least one year from the date the provisions are in effect.

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Thank you in advance for your consideration of these comments.

²⁵ *Id.* at § 7001(v) (proposed).

²⁶ Cal. Civ. Code § 1798.140(d).

²⁷ Rob Bonta, Attorney General, *California Consumer Privacy Act Frequently Asked Questions (FAQs)* at Question 6, located [here](#).



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